

Bajaj Finance Ltd (BAJFINANCE)

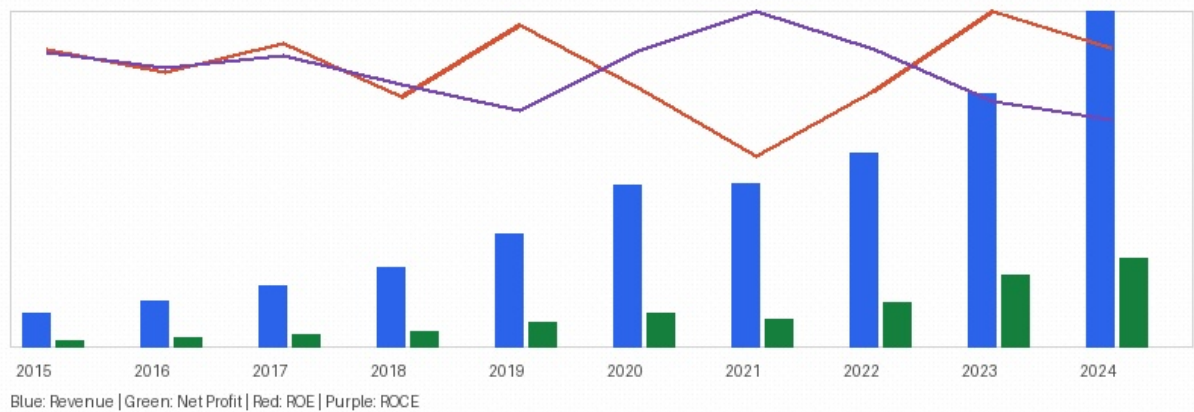
ROE 18.84%	ROCE 4.36%	NPM 26.29%
D/E 3.82	Revenue CAGR 24.35%	FCF -79,931.00

Sector: Financial Services | **Sub-sector:** Financial Services

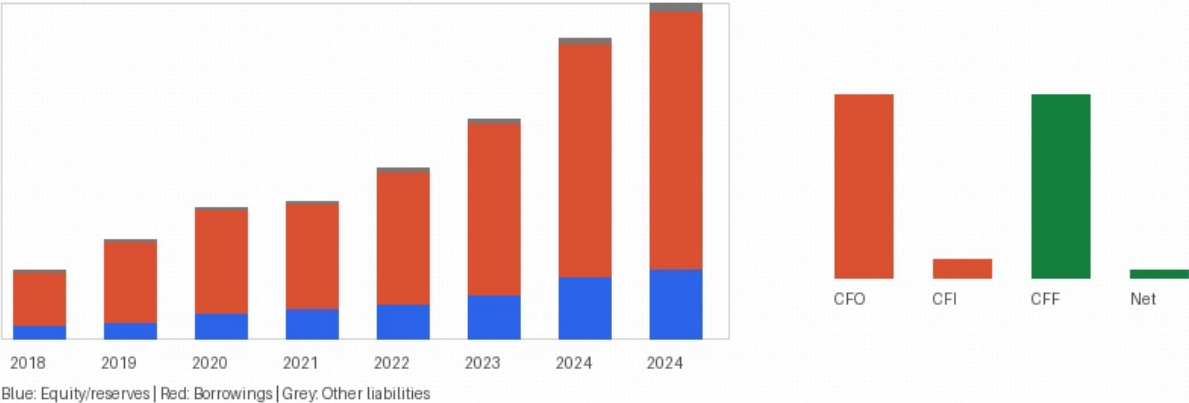
SIMULATED: stock_prices and market_cap datasets are simulated where used for valuation or price context.

Bajaj Finance is mainly engaged in the business of lending. BFL has a diversified lending portfolio across retail, SME and commercial customers with a significant presence in urban and rural India. It also accepts public and corporate deposits and offers variety of financial services products to its customers.

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Revenue growing at above 15% CAGR over 5 years reflects strong business momentum	Debt-to-equity ratio of 3.82 is elevated for a non-financial company and warrants monitoring
Operating profit margin above 25% indicates strong pricing power and cost discipline	Free cash flow negative for 3 consecutive years raises concern about cash generation quality
Net profit compounding at above 20% over 5 years creates significant shareholder value	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
Very high interest coverage ratio reflects negligible financial stress from debt servicing	Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt